DCF walkthrough

What a DCF does

A discounted cash flow model values a business by its future cash flows.

Steps

1. Forecast free cash flow
2. Choose a discount rate (WACC)
3. Estimate a terminal value
4. Discount everything to today

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Free cash flow

FCFF = EBIT(1 - t) + D&A - Capex - Change in NWC

Use the same definition every year of the forecast.

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Discount rate

WACC = E/V x Re + D/V x Rd x (1 - t)

Re usually comes from CAPM: Rf + beta x equity risk premium.

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Terminal value

TV = FCF(n+1) / (WACC - g)

g must stay below the long-run growth of the economy.

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Checks

Compare the implied multiple with peers.

Test how the value moves with WACC and g.